

Anything that you own is an asset. It could be the house you have invested in, it could be your car or your sofa or it could even be your good behaviour (a non materialistic asset).

Role of Assets in Financial Freedom?

Assets happen to be the most critical cog in the wheel of financial freedom. You become financially free when your assets grow big enough to feed your expenses, after taking care of inflation, for the rest of your life, without you actively pumping any more funds into it. This essentially means that your asset base becomes self funding in nature.

Which assets are counted?

You are identified in society by the material and non material assets that you possess. However, to keep things simple and within the perspective of this book, we will focus on only those assets that are available to help you become financially free. So, if you are driving a car that you own and will continue to drive the same after you are financially independent, it is not counted as an asset for the simple reason that you cannot liquidate⁵¹ this asset and invest the resultant money in investment tools with potentially higher returns on investments. You can also not liquidate this asset to fund your expenses. Same goes with the house where you stay in. Since you are likely to stay in the same house post your financial freedom, you cannot liquidate the house either.

So, while counting your assets, please discount all assets that you cannot liquidate after you become financially independent. Typical examples are the house you are going to live in, your fridge, sofa, car etc. Other houses that you own, which can be liquidated, are definitely counted as assets.

Be conservative while assessing the value of an asset

Remember to be on the conservative side while counting the value of an asset, for the simple reason that when you want to liquidate them, you will